


Rating
Buy

Europe
Finland

Capital Goods
Engineering

Company
KONE Corporation

Reuters
KNEBV.HE

Bloomberg
KNEBV FH

Exchange
HEX

Ticker
KNEBV

ADR
KNYJY

ISIN
US50048H1014

Date
23 July 2026

Forecast Change

Price at 22 Jul 2026 (EUR)	46.72
Price Target (EUR)	67.00
52-week range (EUR)	70.00 - 48.20

Good orders with cost inflation starting to feature, new TP €67, BUY

Q2 results featured strong order growth with the market reaction tempered by a slight decline in backlog margin, limited group margin expansion and modernisation revenue growth. We see some of these concerns as time-and-place as we update our forecasts. KONE continues to execute well as its market leadership reflects in strong order growth. As we head into H2, the industry faces increased cost inflation with KONE putting through price increases to keep price cost stable with H2 margin expansion now expected at +40bps yr/yr versus +40bps delivered in H1 with DB forecasts slightly ahead on orders but in-line on revenues and adj EBIT vs consensus for the year. We maintain our BUY recommendation as we update our target price to €67.

Colour on the quarter and revised forecasts

Q2 order intake grew +11% yr/yr in local fx with modernisation >15% with price up in all regions ex China to reflect increased costs with Chinese pricing stable. Management indicated there was a bigger lag between tenders to orders in the Q2 intake with a slight decline in margin. In Maintenance, we expect revenue growth to accelerate slightly as we lap the effects of portfolio management in China with mgmt. reiterating its +HSD growth target as we factor in less M&A. In Modernisation, 15%+ order growth in lc was strong while revenue growth of +7% in lc was weaker than normal. As we head into H2, we expect Modernisation revenue growth to reaccelerate to +LDD against weaker growth comps in the second half. In New Building Solutions (NBS), we make minimal changes to revenue estimates for the remainder of FY26. Management confident on price cost as stable despite increased cost inflation as all regions ex China featured price increases. KONE has locked in pricing on raw materials for the rest of year with cost-pass through provisions on logistics a feature on most contracts. That said, we expect margin expansion for H2 in-line with H1 levels at +c40bps yr/yr as price actions to mitigate cost inflation may lag slightly in terms of impact. We also factor in margin progression in backlog which is an incremental headwind to operational leverage going forward in the short-term.

Changes to DB estimates as we remain slightly ahead on orders for FY26

Versus our previous estimates, we adjusted our FY26 forecasts as follows; no meaningful change to group orders €9.6bn (+5.5% yr/yr growth in lc), increased our group revenues by +1% now €11.8bn (+5.1% yr/yr growth in lc) and increased our adj. EBIT by +1% now €1.49bn (12.6% margin). Versus consensus, our FY26

Valuation & Risks

John Kim

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Gael de-Bray, CFA

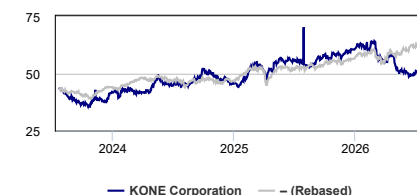
Research Analyst
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Key changes

TP	66.00 to 67.00	↑	1.5%
DB EPS (EUR)	2.22 to 2.36	↑	6.3%
Revenue (EURm)	11,701 to 11,815	↑	1.0%

Source: Deutsche Bank

Price/price relative



Performance (%)	1m	3m	12m
Absolute	-1.7	-16.4	-12.0
DJ (.STOXXE)	-0.7	4.9	17.7

Source: Deutsche Bank

Key indicators (FY1)

ROE (%)	36.7
ROA (%)	11.3
Net debt/equity (%)	-40.5
Book value/share (EUR)	5.6
Price/book (x)	8.4
Net interest cover (x)	59.9
EBIT margin (%)	11.8

Source: Deutsche Bank

Deutsche Bank AG

IMPORTANT RESEARCH DISCLOSURES AND ANALYST CERTIFICATIONS LOCATED IN APPENDIX 1. Deutsche Bank does and seeks to do business with companies covered in its research reports. Thus, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.



estimates are +2% ahead on group orders and in-line on revenue, and adj. EBIT. For FY27, we forecast group orders of €10.2bn (+6% yr/yr in lc), revenue of €12.6bn (+6% yr/yr in lc), and adj. EBIT of €1.69bn (13.4% margin). Versus consensus, our FY27 estimates are +3% ahead on group orders, +1% on revenue, and +1% on adj. EBIT.

Valuation, target price of €67, BUY

We value KONE as a stand-alone business for now and maintain a target price of €67 (was €66) and a BUY rating. We value KONE using a DCF analysis based on our forecasts through 2030 with a terminal value calculation as we roll forward our valuation. We use a CAPM framework to calculate an 8.2% WACC and a terminal value implying a c17x. Downside risks include potentially severe pricing headwinds, and an inability to drive operational improvements.

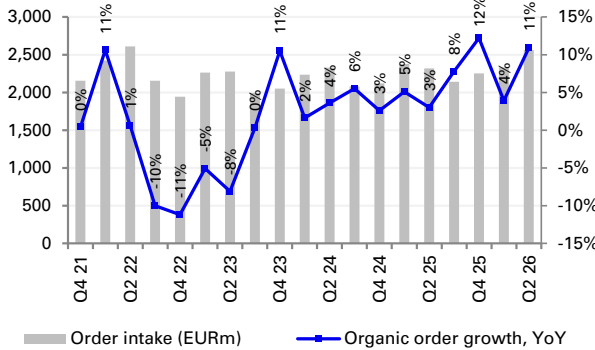
Forecasts and ratios					
Year End Dec 31	2024A	2025A	2026E	2027E	2028E
Revenue (EURm)	11,098	11,245	11,815	12,628	13,406
EBITA (EURm)	1,296	1,389	1,441	1,740	1,868
DB EPS (EUR)	1.86	1.97	2.36	2.66	2.85
P/E (DB EPS) (x)	24.3	27.6	19.8	17.6	16.4
EV/EBITA (x)	17.8	19.7	16.1	13.0	11.9
DPS (EUR)	1.80	1.80	1.83	2.36	2.54
Yield (%)	4.0	3.3	3.9	5.1	5.4

Source: Deutsche Bank estimates, company data



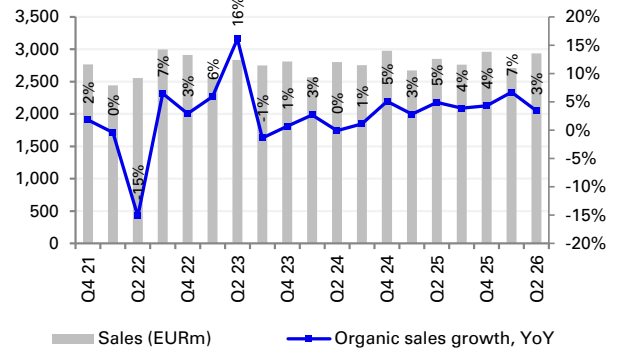
Q2 26 - key charts

Figure 1: Qtlly order intake and organic order growth



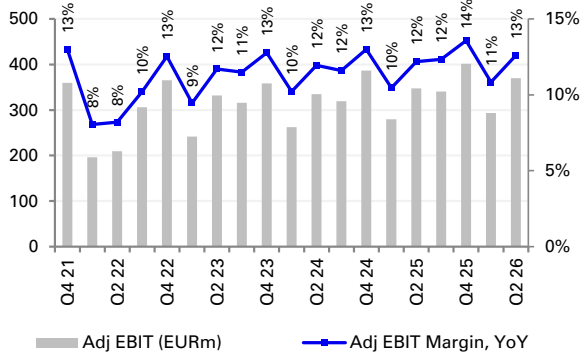
Source : Deutsche Bank, Company data

Figure 2: Qtlly sales and organic sales growth



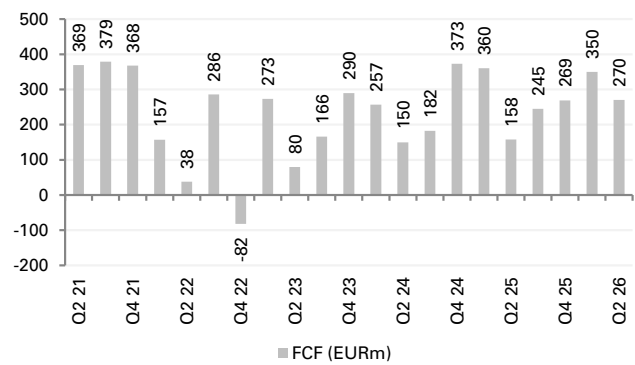
Source : Deutsche Bank, Company data

Figure 3: Adj EBIT and Adj EBIT margin



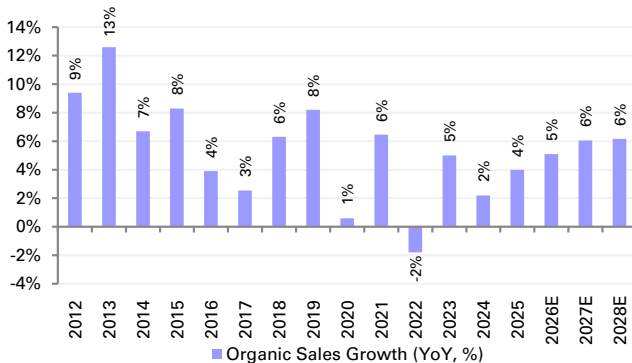
Source : Deutsche Bank, Company data

Figure 4: FCF (EUR, m)



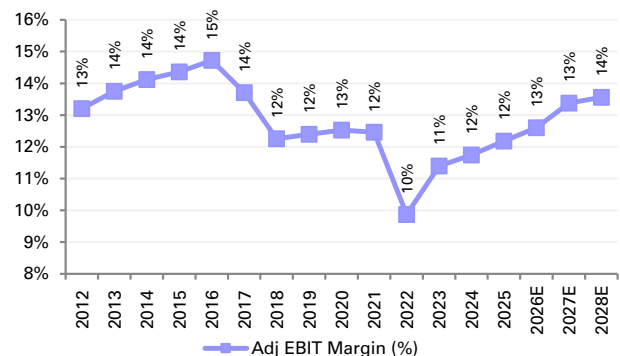
Source : Deutsche Bank, Company data

Figure 5: Organic Sales Growth (YoY, %)



Source : Deutsche Bank, Company data

Figure 6: Adj EBIT Margin (%)



Source : Deutsche Bank, Company data



Financials

Figure 7: Annual P&L

Profit & Loss (EURm)	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Total sales	9,982	9,982	10,514	10,907	10,952	11,098	11,245	11,815	12,628	13,406
Growth	10.0%	0.0%	5.3%	3.7%	0.4%	1.3%	1.3%	5.1%	6.9%	6.2%
-of which constant fx	8.2%	0.6%	6.4%	-1.8%	5.0%	2.2%	4.0%	5.1%	6.1%	6.2%
-of which currency	1.8%	-0.6%	-1.1%	5.5%	-4.6%	-0.9%	-2.8%	0.0%	0.8%	0.0%
Cost Of Goods Sold	-4,022	-3,958	-4,297	-4,458	-4,168	-4,335	-4,180	-4,029	-4,386	-4,773
Other Expenses	-4,526	-4,572	-4,678	-5,158	-5,314	-5,223	-5,409	-6,056	-6,203	-6,447
EBITDA	1,434	1,452	1,539	1,291	1,470	1,541	1,656	1,730	2,039	2,186
Margin	14.4%	14.5%	14.6%	11.8%	13.4%	13.9%	14.7%	14.6%	16.1%	16.3%
Depreciation & Amortisation	-242	-239	-244	-259	-269	-292	-320	-340	-349	-368
DB EBITA	1,234	1,247	1,346	1,116	1,295	1,350	1,422	1,540	1,740	1,868
Margin	12.4%	12.5%	12.8%	10.2%	11.8%	12.2%	12.6%	13.0%	13.8%	13.9%
Adj EBIT	1,237	1,251	1,310	1,077	1,248	1,303	1,369	1,488	1,690	1,818
Margin	12.4%	12.5%	12.5%	9.9%	11.4%	11.7%	12.2%	12.6%	13.4%	13.6%
Items affecting comparability	-45	-38	-15	-45	-48	-54	-33	-98	0	0
Reported EBIT	1,192	1,213	1,295	1,031	1,200	1,249	1,336	1,390	1,690	1,818
Margin	11.9%	12.2%	12.3%	9.5%	11.0%	11.3%	11.9%	11.8%	13.4%	13.6%
Associate income	0	0	0	0	0	0	-1	0	0	0
Extraordinary items	0	0	0	0	0	0	0	0	0	0
Net financial items	-9	11	-9	-9	6	5	-8	-23	70	76
Pre-tax profit	1,184	1,224	1,287	1,023	1,206	1,254	1,327	1,367	1,760	1,894
DB Pre-tax profit	1,220	1,261	1,323	1,062	1,253	1,301	1,380	1,517	1,810	1,944
Taxes	-279	-277	-298	-244	-275	-293	-335	-317	-405	-436
Profit from discontinued operation	0	0	0	0	0	0	0	0	0	0
Minority interests	-7	-8	-9	-10	-6	-10	-12	-13	-16	-17
Net profit	898	939	980	769	926	951	980	1,037	1,339	1,441
DB EPS (full dilution)	1.79	1.87	1.95	1.54	1.86	1.86	1.97	2.36	2.66	2.85

Source : Deutsche Bank, Company data



Figure 8: Annual cash flow statement

Cash flow statement (EURm)	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
EBIT	1,193	1,213	1,295	1,031	1,200	1,249	1,336	1,390	1,690	1,818
Depreciation & amortisation	242	239	244	259	269	292	320	340	349	368
Chg in provisions/other adj	-16	-36	-119	58	24	-49	61	166	63	66
Change in working capital	116	456	246	-533	-68	122	91	13	-17	-16
Operating Cash Flow	1,534	1,872	1,667	816	1,425	1,614	1,808	1,908	2,085	2,235
Net interest	23	12	27	34	3	5	-8	-23	70	76
Tax paid	-287	-333	-328	-275	-304	-351	-441	-390	-405	-436
Cash Earnings	1,270	1,550	1,365	574	1,125	1,268	1,358	1,495	1,750	1,876
Net investments fixed assets	-98	-88	-97	-101	-148	-120	-120	-118	-126	-134
Free Cash Flow pre dividend	1,172	1,462	1,269	473	977	1,148	1,238	1,377	1,624	1,742
% of EBIT	98%	121%	98%	46%	81%	92%	93%	99%	96%	96%
Dividend	-852	-881	-1,166	-1,088	-905	-906	-932	-932	-948	-1,224
Free Cash Flow post div	320	582	102	-615	72	243	306	445	676	518
% of EBIT	27%	48%	8%	-60%	6%	19%	23%	32%	40%	28%
Acquisitions	-27	-27	-35	-32	-172	-167	-164	-50	-50	-50
Disposals	0	5	11	0	1	0	0	0	0	0
Issue of share capital/buyback	34	-4	-47	-58	-1	-20	-6	24	0	0
Other	-317	-740	-249	755	45	112	-202	331	-50	-50
Currency movement on cash	16	-20	249	-46	-15	-17	-70	0	0	0
Net cashflow	27	-205	32	5	-71	151	-136	749	576	418
Change in net debt	136	-407	-207	887	283	183	131	-343	-576	-418
Net debt (including pension)	-1,570	-1,977	-2,183	-1,297	-1,014	-831	-700	-1,043	-1,619	-2,037

Source : Deutsche Bank, Company data



Model updated: 22 July 2026

Running the numbers

Europe

Finland

Engineering

KONE Corporation

Reuters: KNEBV.HE Bloomberg: KNEBV.FH

Buy

Price (22 Jul 26) EUR 46.72

Target Price EUR 67.00

52 Week range EUR 48.20 - 70.00

Market cap (m) EURm 24,214
USDm 27,617

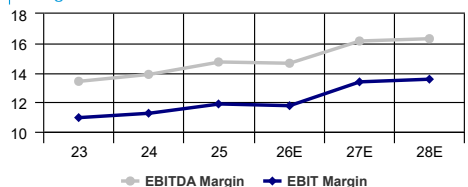
Company Profile

KONE Oyj is an international engineering and service company employing 60,000+ people across c60 countries worldwide. It was founded in 1910 and is headquartered in Espoo near Helsinki, Finland. Kone builds and services moving walkways, automatic doors and gates, escalators and lifts. In addition, the company provides maintenance and modernization solutions for existing installations

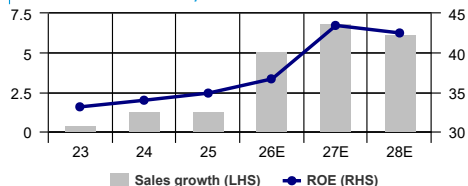
Price Performance



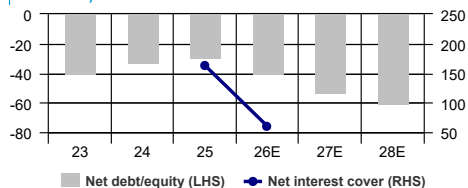
Margin Trends



Growth & Profitability



Solvency



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Fiscal year end 31-Dec

Financial Summary

	2023	2024	2025	2026E	2027E	2028E
DB EPS (EUR)	1.86	1.86	1.97	2.36	2.66	2.85
Reported EPS (EUR)	1.79	1.80	1.89	2.00	2.58	2.78
DPS (EUR)	1.75	1.80	1.80	1.83	2.36	2.54
BVPS (EUR)	5.3	5.4	5.4	5.6	6.3	6.8
Weighted average shares (m)	517	529	518	518	518	518
Average market cap (EURm)	21,857	24,013	28,110	24,214	24,214	24,214
Enterprise value (EURm)	20,789	23,094	27,326	23,149	22,589	22,188

Valuation Metrics

P/E (DB) (x)	22.7	24.3	27.6	19.8	17.6	16.4
P/E (Reported) (x)	23.6	25.2	28.7	23.4	18.1	16.8
P/BV (x)	7.87	8.44	11.32	8.40	7.39	6.92
FCF Yield (%)	4.5	4.7	4.3	5.7	6.7	7.2
Dividend Yield (%)	4.1	4.0	3.3	3.9	5.1	5.4
EV/Sales (x)	1.9	2.1	2.4	2.0	1.8	1.7
EV/EBITDA (x)	14.1	15.0	16.5	13.4	11.1	10.2
EV/EBIT (x)	17.3	18.5	20.5	16.7	13.4	12.2

Income Statement (EURm)

Sales revenue	10,952	11,098	11,245	11,815	12,628	13,406
Gross profit	6,784	6,764	7,065	7,785	8,242	8,633
EBITDA	1,470	1,541	1,656	1,730	2,039	2,186
Depreciation	222	246	267	288	299	318
Amortisation	47	47	53	51	50	50
EBIT	1,200	1,249	1,336	1,390	1,690	1,818
Net interest income/(expense)	6	5	-8	-23	70	76
Associates/affiliates	0	0	0	0	0	0
Exceptionals/extraordinaries	0	0	0	0	0	0
Other pre-tax income/(expense)	0	0	-1	0	0	0
Profit before tax	1,206	1,254	1,327	1,367	1,760	1,894
Income tax expense	275	293	335	317	405	436
Minorities	6	10	12	13	16	17
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	926	951	980	1,037	1,339	1,441
DB adjustments (including dilution)	36	36	40	185	39	39
DB Net profit	962	987	1,020	1,221	1,377	1,480

Cash Flow (EURm)

Cash flow from operations	1,128	1,249	1,316	1,495	1,750	1,876
Net Capex	-147	-120	-120	-118	-126	-134
Free cash flow	981	1,129	1,196	1,377	1,624	1,742
Equity raised/(bought back)	-1	-20	-6	24	0	0
Dividends paid	-905	-906	-932	-932	-948	-1,224
Net inc/(dec) in borrowings	-166	40	-150	-247	-50	-50
Other investing/financing cash flows	20	-93	-244	528	-50	-50
Net cash flow	-71	151	-136	749	576	418
Change in working capital	-68	122	91	13	-17	-16

Balance Sheet (EURm)

Cash and other liquid assets	1,688	1,799	1,709	1,880	2,456	2,874
Tangible fixed assets	780	899	943	939	935	927
Goodwill/intangible assets	1,756	1,892	1,890	1,928	1,959	1,991
Associates/investments	101	150	159	136	136	136
Other assets	4,405	4,545	4,352	4,442	4,525	4,587
Total assets	8,731	9,284	9,052	9,325	10,010	10,516
Interest bearing debt	555	846	870	684	684	684
Other liabilities	5,390	5,545	5,356	5,691	5,963	6,228
Total liabilities	5,945	6,391	6,225	6,375	6,647	6,913
Shareholders' equity	2,752	2,850	2,771	2,882	3,278	3,501
Minorities	34	44	56	68	84	102
Total shareholders' equity	2,786	2,893	2,827	2,950	3,363	3,603
Net debt	-1,134	-953	-839	-1,195	-1,772	-2,190

Key Company Metrics

Sales growth (%)	0.4	1.3	1.3	5.1	6.9	6.2
DB EPS growth (%)	20.4	0.3	5.6	19.7	12.8	7.4
EBITDA Margin (%)	13.4	13.9	14.7	14.6	16.1	16.3
EBIT Margin (%)	11.0	11.3	11.9	11.8	13.4	13.6
Payout ratio (%)	97.8	100.2	95.1	91.4	91.4	91.4
ROE (%)	33.1	34.0	34.9	36.7	43.5	42.5
Capex/sales (%)	1.4	1.1	1.1	1.0	1.0	1.0
Capex/depreciation (x)	0.7	0.5	0.4	0.4	0.4	0.4
Net debt/equity (%)	-40.7	-33.0	-29.7	-40.5	-52.7	-60.8
Net interest cover (x)	nm	nm	163.0	59.9	nm	nm

Source: Company data, Deutsche Bank estimates



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
KONE Corporation	KNEBV.HE	48.2 (EUR) 21 Jul 2026	2, 8, 14, 15, 24, 26

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

Important Disclosures Required by U.S. Regulators

Disclosures marked with an asterisk may also be required by at least one jurisdiction in addition to the United States. See Important Disclosures Required by Non-US Regulators and Explanatory Notes.

2. Deutsche Bank and/or its affiliate(s) may act as a market maker or liquidity provider in the financial instruments issued by this company.
8. Deutsche Bank and/or its affiliate(s) expects to receive, or intends to seek, compensation for investment banking services from this company in the next three months.
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15. This company has been a client of Deutsche Bank Securities Inc. within the past year during which time it received investment banking services.

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26. Within the preceding 12 months, Deutsche Bank and/or its affiliate(s) has received compensation for the provision of investment banking services or is currently providing or has provided investment banking services to this company.

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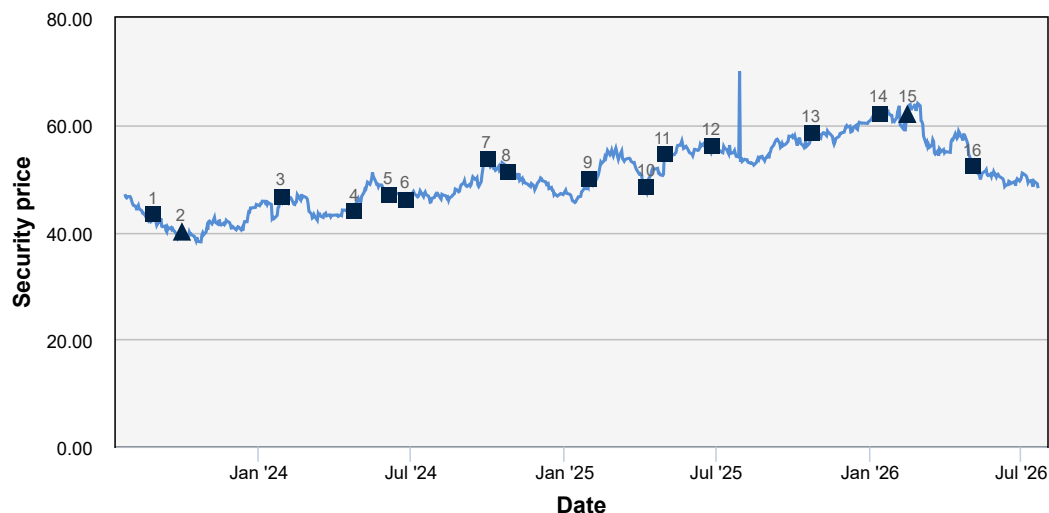
Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst(s) about the subject issuer and the securities of the issuer. In addition, the undersigned lead analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report. John Kim.



Historical recommendations and target price: KONE Corporation (KNEBV.HE)

(as of 07/21/2026)



Current Recommendations

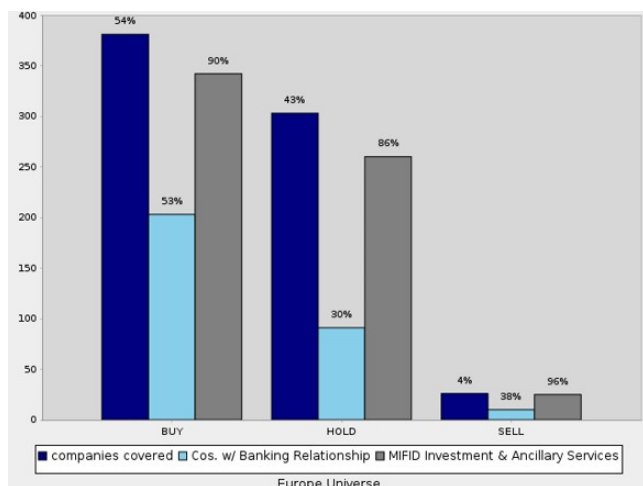
Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1. 08/29/2023	Sell, Target Price Change EUR 41.00, Current Price EUR 43.33 John Kim	9. 01/31/2025	Hold, Target Price Change EUR 50.00, Current Price EUR 50.00 John Kim
2. 10/02/2023	Upgraded to Hold, Target Price Change EUR 41.00, Current Price EUR 40.13 John Kim	10. 04/10/2025	Hold, Target Price Change EUR 46.00, Current Price EUR 48.50 Gael de-Bray, CFA
3. 01/29/2024	Hold, Target Price Change EUR 44.00, Current Price EUR 46.61 John Kim	11. 05/01/2025	Hold, Target Price Change EUR 51.00, Current Price EUR 54.50 John Kim
4. 04/25/2024	Hold, Target Price Change EUR 47.00, Current Price EUR 44.01 John Kim	12. 06/27/2025	Hold, Target Price Change EUR 53.00, Current Price EUR 56.08 John Kim
5. 06/06/2024	Hold, Target Price Change EUR 46.00, Current Price EUR 46.95 John Kim	13. 10/24/2025	Hold, Target Price Change EUR 57.00, Current Price EUR 58.44 John Kim
6. 06/26/2024	Hold, Target Price Change EUR 45.00, Current Price EUR 46.07 John Kim	14. 01/13/2026	Hold, Target Price Change EUR 62.00, Current Price EUR 62.12 John Kim
7. 10/01/2024	Hold, Target Price Change EUR 52.00, Current Price EUR 53.62 John Kim	15. 02/16/2026	Upgraded to Buy, Target Price Change EUR 71.00, Current Price EUR 62.08 John Kim
8. 10/25/2024	Hold, Target Price Change EUR 51.00, Current Price EUR 51.22 John Kim	16. 05/05/2026	Buy, Target Price Change EUR 66.00, Current Price EUR 52.30 John Kim



Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold" recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the "Cos. w/ MIFID Investment and Ancillary Services" bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold") recommendations where Deutsche Bank and or/Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the "Cos. w/ Investment Banking relationship" bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



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